

APPENDIX 6.1**An attempt to map subject areas across three lists of VII Schedule**

Subject-matter	Union List	State List	Concurrent List
Land and Property		18	6
Agriculture		14	
Animal Husbandry		15, 16	17
Irrigation		17	
Fisheries	57	21	
Forests and Wild Life			17A, 17B
Mining	6, 53, 54, 55	23	
Industries, Factories, etc.	7, 52, 58, 59	24, 27	18, 33, 36, 37
Industrial Disputes	61		
Trade and Commerce	41, 42	26	33
Banking, Money Lending, etc.	45, 46	30	
Insurance	47		
Communication (Transport)	22, 23, 24, 25, 26,27,28,29,30,	13	31, 32
Electricity			38
Intellectual Property	48		
Trading corporation	43, 44	32	
Gas and Gas Works		25	
Monopoly, Combinations, etc.			21
Trade Unions, Social Security			22, 23, 24
Price Control			34
Economic and Social Planning			20

UNIT 7 ECONOMIC REFORMS IN INDIA

Structure

- 7.0 Objectives
- 7.1 Introduction
- 7.2 Economic Reforms: Meaning and Nature
- 7.3 India's Path to Economic Transformation
 - 7.3.1 Planned Economic Development
 - 7.3.2 Import Substitution in Industrialisation
 - 7.3.3 License Permit Quota Raj
 - 7.3.4 Public Sector Expansion and Nationalisation
 - 7.3.5 Beginning of Economic Reforms
- 7.4 Onset of Current Economic Reforms
 - 7.4.1 The Crisis
 - 7.4.2 Assessment and the Response
 - 7.4.3 Some Initial Steps Taken by the Government
- 7.5 Reforms for Macroeconomic Stabilisation
 - 7.5.1 Fiscal Reforms
 - 7.5.2 Monetary and Financial Reforms
 - 7.5.3 Currency Exchange Reforms
- 7.6 Reforms for Microeconomic Structural Adjustment
 - 7.6.1 Liberalisation of Business
 - 7.6.2 Privatisation of Public Sector Units and Disinvestment
 - 7.6.3 Globalisation of the Economy
- 7.7 Generations and Waves of Economic Reforms
- 7.8 Let Us Sum Up
- 7.9 Term-End Exercises
- 7.10 Key Words
- 7.11 References
- 7.12 Answers or Hints to Check Your Progress Exercises

7.0 OBJECTIVES

After reading this unit, you will be able to:

- define economic reforms;
- contrast efficiency-seeking reforms with equity-seeking reforms;
- delineate the nature of neoliberal economic reforms;
- narrate the crisis brewing in 1980s and precipitated by Gulf War in 1990;
- shed light into the background necessitating current genre of reforms;
- explain macroeconomic stabilisation and structural adjustment programmes; and
- make a distinction between the first generation and the second generation reforms.

7.1 INTRODUCTION

Every day, we in India keep hearing, or reading news about some or the other economic reforms that have been brought in or would be brought in shortly. They are either introduction of new interventions or withdrawal of old interventions by the government in managing the economic affairs of the country—particularly in the structure and operation of markets.

In the previous Unit, it was discussed as to why and how government intervenes in the market and also why and how, at times, it chooses to withdraw certain interventions. Introduction, modification, and withdrawal of government interventions depend partly on ideology, partly on evolving situation—both internal and external, and partly on the efficacy of the prevalent institutions to meet the development objectives.

Interventions brought in by the government are said to be ‘reforms’ when they are significant and, generally pro-active but they are short of being a revolution. It seems significant institutional/instrumental changes have often been called reforms and technological or social ones, revolutions. The latter are not necessarily always prompted or promoted by government but they invariably have a significant consequence for a society. Reforms too could be social—anti-sati or anti-slavery; economic—agrarian and industrial; political—parliamentary and electoral, etc. So could be revolutions—American or French Revolution on political front and Industrial Revolution or Green Revolution on economic front. However, reforms in this Unit will mean economic reforms and only those undertaken by the government. They thus refer to reforms in economic policy and management of the government.

In India, there were a set of reforms carried out after independence in several institutional arrangements, the first being in the sphere of land relations. They were duly referred to as reforms by policymakers and scholars though in legislative parlance few of the Acts were named ‘reforms’ (Even introduction of expenditure tax in mid-1950s was called a tax reform). Likewise, when in early 1990s steps were taken to liberalise business, privatise government enterprises, and open the economy for international trade and investment, they have been called reforms by policymakers and scholars alike but not necessarily in legalese where the word often used is regulation or management.

This unit proposes to explain the meaning and nature of economic reforms carried out since independence and post 1991, and discuss the features and contours of reforms carried out during these two different periods.

The unit is, however, intended to explain rather than assess the neoliberal reforms in terms of the political economy, which may not be very charitable. Assessment is invariably coloured by one’s ideological persuasion.

7.2 ECONOMIC REFORMS: MEANING AND NATURE

Reform means improvement, amendment, correction, or rectification of an intervention that has proved less than satisfactory in its performance or found to be inadequate or inappropriate in terms of meeting its intended outcomes. They